# Irish Continental Group plc

Illustrative buy-side financial due diligence ahead of the €1.2bn management buyout

*Prepared by Jaazim Jaseel, October 2026. Desktop review of ICG's published accounts (FY2023 to H1 2026), the Rule 2.7 offer announcement and press coverage. No access to management, data room or non-public information. Figures are € millions unless stated. Adjustments are the author's illustrative views and would need confirming against underlying records.*

## 1. Executive summary

On 24 July 2026 Bluefin Bidco, owned by ICG's management team under CEO Eamonn Rothwell and funded partly by preferred equity from GIP, offered €8.00 a share. That is about €1.22bn of equity on a fully diluted basis and €1.47bn of enterprise value, or 9.8x FY2025 EBITDA. Shareholders voted it through on 10 September with 79.2% of votes cast, though several institutions had argued publicly that the price was too low.

| €m | FY2023 | FY2024 | FY2025 | LTM Jun-26 |
|---|---|---|---|---|
| Revenue | 572.0 | 603.8 | 666.7 | 716.7 |
| Reported EBITDA (post-IFRS 16) | 132.6 | 133.5 | 150.6 | 154.6 |
| EBITDA margin | 23.2% | 22.1% | 22.6% | 21.6% |
| **Diligence-adjusted EBITDA** | **132.8** | **132.9** | **150.5** | **154.5** |
| Approx. pre-IFRS 16 adjusted EBITDA | 114.8 | 118.3 | 142.5 | 144.1 |
| Year-end / period-end net working capital | (21.1) | (22.0) | (35.3) | (49.2) |
| Reported net debt (incl. leases) | 143.7 | 162.2 | 256.1 | 226.2 |
| **Diligence-adjusted net debt** | | | | **258.0** |

*Sources: ICG FY2024 and FY2025 preliminary results, H1 2026 half-yearly report. LTM = FY2025 + H1 2026 − H1 2025. Adjustments explained in sections 3 and 5.*

### What I found

- LTM EBITDA of €154.6m looks better than 2026 will. H1 EBITDA was up 7.3%, yet operating profit fell, and by 15 August car volumes were down 7.9% and RoRo freight down 9.3% for the year. That is the peak season, which earns roughly two-thirds of annual EBITDA. I would price off something nearer €145–150m (my base case is €146.9m).
- Ferries make 80% of EBITDA, and Dublin–Holyhead has been disrupted three times in 13 months. I have not added any of that back. It keeps happening.
- Maintenance capex was €19.4m in FY2025 against PP&E depreciation of €53.7m. The company's own 'free cash flow before strategic capex' (€130.5m) therefore looks generous once the fleet has to be renewed.
- June is the high point for cash. Working capital at 30 June 2026 was €(49.2)m, €17.2m better than its five-point average, and that money goes back out in the second half. With a June locked box I'd treat it as debt.
- On my adjustments net debt is about €258m rather than the reported €226m. The extra comes from €13.5m of long-term payables nobody has explained yet, the €17.2m seasonal cash and €1.1m of provisions. I've left the €68.3m pension surplus out.
- At €8.00 the buyer pays about 10.0x my adjusted EV over FY2026E EBITDA, more than DFDS (5.1x) or Viking Line (7.8x) trade on. My DCF comes out between €7.65 (8.0x exit) and €9.32 (2% perpetuity growth). So the offer sits in the lower half of a range I'd call reasonable, which is roughly where I expected it to land.

## 2. Business overview and transaction

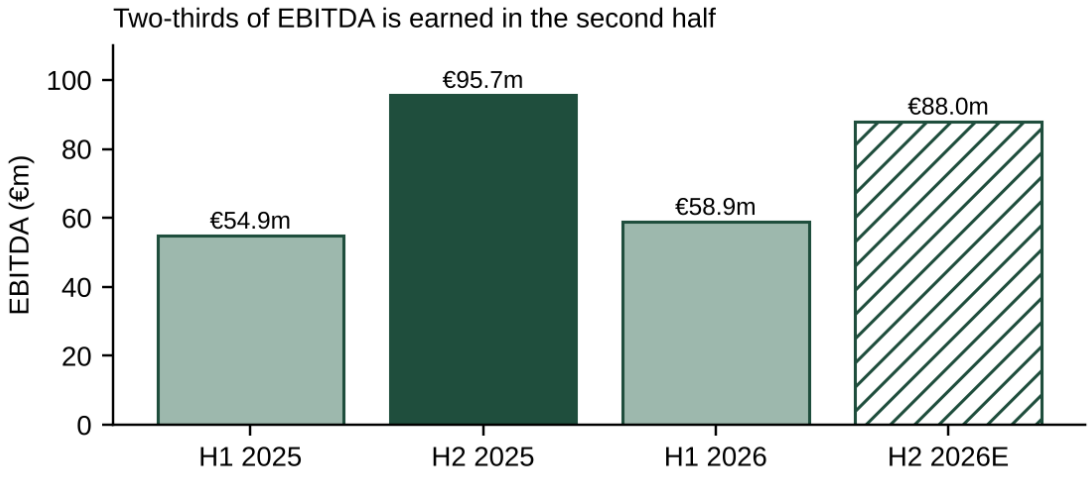
ICG is a Dublin-based ferry and container group listed on Euronext Dublin. Irish Ferries runs passenger and RoRo freight sailings on routes including Dublin–Holyhead, Rosslare–Pembroke and Dover–Calais, and charters out vessels. It brought in €465.5m of revenue in FY2025 (passengers €210.9m, freight €207.3m, charter and other €47.3m) and €120.7m of EBITDA. The smaller Container & Terminal division, Eucon plus Dublin Ferryport Terminals, made €29.9m of EBITDA on €234.6m of revenue.

| Offer terms | Detail |
|---|---|
| Price | €8.00 cash per share; 28.2% premium to €6.24 close on 24 Jul 2026; 34.8% to 12-month VWAP |
| Equity value | €1,215.8m on 151.97m fully diluted shares (148.47m in issue + 3.50m awards) |
| Enterprise value | €1,471.9m using 31 Dec 2025 net debt of €256.1m: 9.8x FY2025 EBITDA |
| Bidder funding | €798m senior term loan and RCF (BNP Paribas, Santander); €455m preferred equity (GIP); MBO team rolls most of its 23.7% stake and takes €90m cash |
| Approval | Scheme approved 10 Sep 2026 by 79.2% of votes cast (75% needed); management shares excluded |
| Opposition | Oxy Capital, Marathon, Janus Henderson and Pageant argued the price undervalued ICG; Oxy cited a 39% discount to sector precedents |

*Source: Rule 2.7 announcement (24 Jul 2026); Irish Times (14 Aug and 10 Sep 2026); ICG board response (18 Aug 2026).*

### A note on the angle

This is a management buyout, so the buyers know the business far better than any outsider. I have written the report from the position of someone who doesn't, for example the preferred equity provider or a shareholder deciding how to vote, and asked whether the earnings, cash and debt behind the price hold up.




*H2 2026E is my forecast (H2 2025 EBITDA less 8%). Source: ICG FY2025 and H1 2026 reports.*

# 3. Quality of earnings

## EBITDA bridge: reported to diligence-adjusted

| €m | FY2023 | FY2024 | FY2025 | LTM Jun-26 | Ref |
|---|---|---|---|---|---|
| Operating profit | 68.4 | 69.1 | 85.6 | 85.0 | |
| Depreciation and amortisation | 64.2 | 64.4 | 65.0 | 69.6 | |
| **Reported EBITDA** | **132.6** | **133.5** | **150.6** | **154.6** | |
| Pension past service cost / (curtailment gain) | 0.2 | (0.6) | – | – | A |
| Gain on disposal of PP&E | – | – | (0.1) | (0.1) | B |
| **Diligence-adjusted EBITDA** | **132.8** | **132.9** | **150.5** | **154.5** | |
| Lease principal repayments (IFRS 16 reversal) | (18.0) | (14.6) | (8.0) | (10.4) | C |
| **Approx. pre-IFRS 16 adjusted EBITDA** | **114.8** | **118.3** | **142.5** | **144.1** | |

*A: one-off pension items disclosed in the FY2024 statement; treatment assumes they sit in operating profit (to confirm). B: cash flow statement. C: principal only, since lease interest is not disclosed separately; used to compare with pre-IFRS 16 peers and lenders' covenants.*

## Things I looked at and left alone

Management would probably want to add back the profit lost to the Holyhead closure and the two berthing incidents. ICG hasn't put a number on it, and three disruptions in 13 months on the same corridor makes it hard to call non-recurring, so I haven't.

The P&O Dover–Calais space charter cuts the other way. P&O has served notice to end it (H1 2026 report), and its contribution isn't disclosed. A buyer would need the contract to size the hit.

Fuel and emissions costs were up 18.9% in H1 2026, to €64.2m, partly because EU ETS now covers 100% of shipping emissions rather than 70%. Surcharges recover most of this, but late. I'd want monthly surcharge recovery before signing off on margins.

Share-based payments (€3.8m in FY2025) stay in as a cost, since a private owner would pay management some other way. External charter income rose from €10.8m to €15.1m in FY2025. I've kept it in EBITDA but would treat it as less dependable than ticket and freight revenue.

## Trend and run-rate

| €m | H1 2025 | H1 2026 | Change |
|---|---|---|---|
| Revenue | 309.9 | 359.9 | +16.1% |
| EBITDA | 54.9 | 58.9 | +7.3% |
| EBITDA margin | 17.7% | 16.4% | (1.3) pts |
| Operating profit | 24.6 | 24.0 | (2.4%) |
| Fuel and ETS costs | 54.0 | 64.2 | +18.9% |
| Cars carried ('000) | 264.9 | 249.7 | (5.7%) |
| RoRo freight units ('000) | 393.3 | 409.5 | +4.1% |
| Containers (teu '000) | 192.9 | 195.1 | +1.1% |

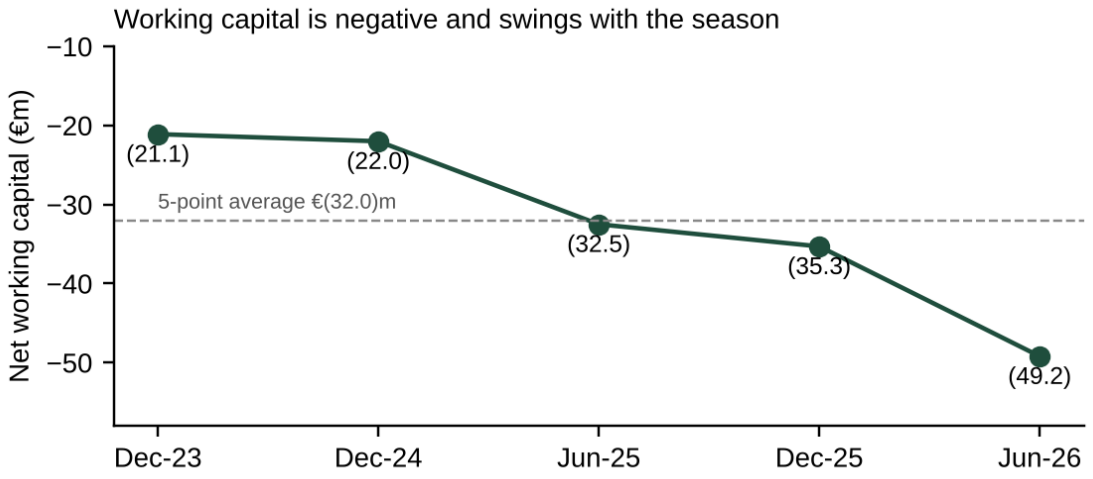
*Source: H1 2026 half-yearly report. Year to 15 August 2026: cars (7.9%), RoRo (9.3%), containers +18.3%, port lifts +5.2%.*

Revenue grew much faster than profit. Some of that revenue is fuel and ETS surcharge, passed on at little or no margin, while car traffic, which is the most profitable part of the tourist trade, is shrinking. For FY2026 I get €146.9m of EBITDA: the €58.9m actually earned in H1, plus an H2 8% below last year.

## 4. Net working capital

| €m | Dec-23 | Dec-24 | Jun-25 | Dec-25 | Jun-26 |
|---|---|---|---|---|---|
| Inventories | 4.0 | 11.1 | 16.8 | 13.1 | 22.8 |
| Trade and other receivables | 68.6 | 73.2 | 86.4 | 82.6 | 113.7 |
| Trade and other payables | (93.7) | (106.3) | (135.7) | (131.0) | (185.7) |
| **Net working capital** | **(21.1)** | **(22.0)** | **(32.5)** | **(35.3)** | **(49.2)** |
| NWC as % of revenue (year-end) | (3.7%) | (3.6%) | | (5.3%) | |

*Source: ICG balance sheets. Trade-only working capital as published; payables include accruals and are not broken down in the half-year report.*




### Comments

ICG runs on negative working capital. Passengers pay when they book and suppliers are paid on credit, so customers and suppliers fund the business. That works in its favour while bookings grow and painful if they fall.

It is also very seasonal. NWC goes from about €(35)m in December to €(49)m in June as summer bookings come in, and the €14.9m inflow in the H1 2026 cash flow will reverse by year end. Taking the five-point average of €(32.0)m as normal, June 2026 sits €17.2m above it. If the price were fixed on a June locked box, the buyer would effectively pay for that cash twice, so I treat it as debt-like.

Payables rose by €54.7m in six months, and the half-year report doesn't split them. I'd ask how much is deferred revenue and how much is ETS owed, capex creditors or fuel accruals, because the last three behave more like debt. Inventories also rose 74% since December (€13.1m to €22.8m), probably fuel and spares; it's worth checking whether ICG bought bunkers forward.

# 5. Net debt and debt-like items

| €m at 30 June 2026 | Amount | Treatment |
|---|---|---|
| Bank loans | 215.0 | Debt |
| Lease liabilities | 49.7 | Debt (IFRS 16) |
| Cash | (36.8) | Cash |
| Capitalised origination fees | (1.7) | As reported |
| **Reported net debt** | **226.2** | |
| Other long-term payables | 13.5 | Debt-like until explained: new in H1 2026, nature not disclosed |
| Seasonal working capital above normal | 17.2 | Debt-like: reverses in H2 (section 4) |
| Provisions (current and non-current) | 1.1 | Debt-like |
| **Diligence-adjusted net debt** | **258.0** | |
| Memo: net pension surplus | 68.3 | Not credited: value depends on trustee rules on refunds |
| Memo: contracted capex not provided | 6.6 | Disclosed commitment; consider in capex forecast |
| Memo: deferred tax liability | 5.7 | Ignored: unlikely to crystallise under tonnage tax |

*Source: H1 2026 half-yearly report, note on net debt; author's adjustments.*

### Comments

The fall in lease liabilities, from €122.6m to €49.7m, looks like a reduction in debt but isn't. In May 2026 ICG completed the purchase of the Oscar Wilde, which removed €75.0m of lease liability, and paid for it with cash and an €80.0m loan drawdown. The debt changed form and stayed about the same size.

FY2025 shareholder returns were €123.2m (buybacks €97.7m, dividends €25.5m) against €47.9m of free cash flow after strategic capex, and bank loans rose €74m to fund the difference. Leverage was still only 1.0x against a 3.0x covenant. That changes after the deal: Bidco's €798m of facilities are about 5.3x FY2025 EBITDA if fully drawn.

I haven't credited the €68.3m pension surplus. It is real, but buyers rarely pay full value for a surplus they can only get back with trustee consent and after tax.

### Implied multiples at the €8.00 offer

| Basis | EV (€m) | EBITDA (€m) | EV / EBITDA |
|---|---|---|---|
| Offer announcement: Dec-25 net debt, FY2025 EBITDA | 1,471.9 | 150.6 | 9.8x |
| Jun-26 reported net debt, LTM EBITDA | 1,442.0 | 154.6 | 9.3x |
| Jun-26 adjusted net debt, FY2026E EBITDA | 1,473.8 | 146.9 | 10.0x |
| Listed peers: DFDS / Viking Line (LTM / last FY) | | | 5.1x / 7.8x |

*Equity value €1,215.8m in all cases. Peer data: multiples.vc, Sep–Oct 2026. Peers differ in scale and route mix.*

## 6. Cash flow and capital expenditure

| €m | FY2023 | FY2024 | FY2025 | H1 2026 |
|---|---|---|---|---|
| Reported EBITDA | 132.6 | 133.5 | 150.6 | 58.9 |
| Cash generated from operations | 136.7 | 142.5 | 162.2 | 89.3 |
| Cash conversion | 103% | 107% | 108% | 152% |
| Maintenance capex | (21.5) | (16.6) | (19.4) | n/d |
| Strategic capex | (21.8) | (15.8) | (82.6) | n/d |
| **Total capex (cash)** | **(41.9)** | **(29.9)** | **(102.0)** | **(95.2)** |
| PP&E depreciation | n/d | (46.9) | (53.7) | (27.1) |
| Maintenance capex / PP&E depreciation | | 35% | 36% | |
| Free cash flow before strategic capex (company APM) | 107.1 | 115.2 | 130.5 | |

*Source: ICG preliminary results FY2024 and FY2025; H1 2026 report. n/d = not disclosed. Cash conversion above 100% reflects negative working capital inflows and non-cash share-based payments.*

### Comments

Fleet renewal is the biggest cash question here. ICG's own maintenance capex runs at about 35% of PP&E depreciation, and the fleet includes ships from the 2000s (James Joyce, bought in 2025, was built in 2007). In the DCF I use 7.5% of revenue, around €55m a year, which is close to depreciation and roughly three times reported maintenance spend. I'd rather be wrong on the cautious side here.

Strategic capex comes in lumps: James Joyce and CT Endeavour in 2025, then Oscar Wilde in May 2026. A vessel-by-vessel schedule of age, dry-docking and replacement dates would be one of my first requests. Cash conversion of 152% in H1 2026 shouldn't be read as a trend, since it reflects the June working capital peak plus a €13.1m rise in other long-term creditors.

Tax is low, about 3.4%, because the shipping profits are under tonnage tax. Whoever owns ICG next needs to confirm it still qualifies after the change of ownership.

## 7. Valuation cross-check (DCF)

The Excel model values ICG at 30 June 2026 from unlevered free cash flow for H2 2026 to FY2030. In the base case I assume H2 2026 EBITDA 8% below H2 2025; revenue growth 3% a year; EBITDA margin 21.5% in 2027 and 22% thereafter; renewal capex 7.5% of revenue; WACC 8.5% (Irish 10-year yield 3.59%, beta 1.0, ERP 5.5%, 0.5% size premium, 20% debt).

| Method | EV (€m) | Value per share | Offer vs value |
|---|---|---|---|
| Perpetuity growth 2.0% (implies 10.1x exit) | 1,643 | €9.32 | 14% below |
| Exit multiple 8.0x FY2030 EBITDA | 1,389 | €7.65 | 4.5% above |
| Sensitivity range (WACC 7.5–9.5%, g 1.0–3.0%) | | €7.10 – €13.71 | |

*Equity value deducts reported Jun-26 net debt of €226.2m; using adjusted net debt of €258.0m lowers each value by about €0.21 per share. Pension surplus excluded.*

My read: if ICG is worth what listed ferry companies trade on, €8.00 is a fair price. If you think its port slots and routes deserve an infrastructure multiple, as the objecting shareholders did, it looks cheap. Most of the gap comes down to two numbers, the terminal multiple and what the fleet will cost to replace, and reasonable people can land in different places on both.

## 8. Questions a buyer would put to management

| Area | Request |
|---|---|
| Earnings | Monthly P&L by route for 2023 to 2026, with volumes, yields and fuel surcharge recovered. Quantified impact of each Holyhead disruption. Contribution of the P&O Dover–Calais space charter and the termination terms. |
| Costs | Fuel hedging and bunker purchasing policy; ETS allowance purchases and surrender timing; FuelEU Maritime exposure from 2025. |
| Working capital | Breakdown of payables (deferred revenue, ETS, capex creditors, accruals) and receivables (freight customers, ageing, top-10 concentration). Weekly cash for the last 24 months to set a working capital peg. |
| Debt and debt-like | Nature of the €13.5m other long-term payables. Change-of-control clauses in bank facilities and charters. Pension trustee agreements on surplus refunds. |
| Fleet and capex | Vessel age, valuation, dry-dock schedule and replacement plan. Split of the €95.2m H1 2026 capex. Contracted commitments after June 2026. |
| Tax and other | Tonnage tax compliance and conditions; open tax enquiries; litigation or claims relating to the berthing incidents. |

## 9. Scope and limitations

I wrote this as a self-directed exercise to practise buy-side financial due diligence, using only public documents: ICG's FY2024 and FY2025 preliminary results, the H1 2026 half-yearly financial report, the Rule 2.7 announcement of 24 July 2026, ICG's board response of 18 August 2026, and coverage in the Irish Times. Peer multiples come from multiples.vc and the risk-free rate from Trading Economics (16 October 2026).

I had no access to management, the auditors, a data room or monthly accounts, so treat every adjustment as something to test rather than a conclusion. This is not investment advice, and I have no connection with ICG, Bluefin, their advisers or shareholders.

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